

RETAIL LOAN APPLICATION PROCESS FLOW MANUAL

1. PURPOSE

This manual defines the standardized end-to-end retail loan origination process including eligibility, underwriting, collateral, fees, decisioning, and joint loan processing.

2. END-TO-END LOAN APPLICATION PROCESS FLOW

2.1 Step-by-Step Process Flow

STEP 1: LEAD GENERATION

- Leads are generated through multiple channels including branch walk-ins, websites, mobile applications, call centers, and digital campaigns.
- Customer data capture includes:
 - Full name and age of the applicant.
 - Employment type and income range.
 - Initial loan product interest.

STEP 2: PRE-SCREENING

- Applications are filtered based on predefined criteria.
- Key checks include:
 - Minimum age and income thresholds.
 - Employment stability assessment.
 - Basic credit score evaluation.
 - Product suitability validation.

STEP 3: APPLICATION SUBMISSION

- Customers submit complete application forms.
- Documents collected include:
 - KYC documents such as identity and address proof.
 - Income proof including salary slips or ITR.
 - Employment or business proof.
 - Existing loan obligations.

STEP 4 to STEP 11

- Verification, credit check, underwriting, decisioning, offer generation, agreement execution, disbursement, and monitoring are completed sequentially following bank policies.

4. CUSTOMER DEMOGRAPHIC SEGMENTATION

Segment	Age Range	Income Level	Employment Type	Risk Profile
Young Professionals	21–30	Low–Medium	Salaried	Medium
Mid-Career	31–45	Medium–High	Mixed	Low–Medium
Established	46–60	High	Business	Low

Retirees	60+	Fixed	Pension	Medium–High
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6. LOAN MATRIX

Segment	Personal Loan	Home Loan	Auto Loan	Education	Business
Young	High	Medium	High	High	Low
Mid	High	High	High	Medium	Medium
Established	Medium	High	Medium	Low	High
Retired	Low	Medium	Low	Low	Low

7. COLLATERAL REQUIREMENTS

Loan Type	Collateral Required	Details
Personal Loan	No	Unsecured
Home Loan	Yes	Property mortgage
Auto Loan	Yes	Vehicle hypothecation
Education Loan	Partial	Guarantor
Business Loan	Yes	Assets

8. FEE STRUCTURE

Personal Loan

- Loan range is between Rs. 50,000 and Rs. 10,00,000.
- Processing fees range from 1 percent to 3 percent.
- Foreclosure charges range from 2 percent to 5 percent.

Home Loan

- Loan range is between Rs. 10,00,000 and Rs. 5 Cr.
- Processing fees range from 0.25 percent to 1 percent.
- Prepayment charges are generally not applicable.

9. CREDIT DECISIONING

Score Range	Risk Category	Decision
750+	Excellent	Fast-track approval
700–749	Good	Standard approval
650–699	Moderate	Manual underwriting
Below 650	High Risk	Rejected or secured only

10. JOINT LOANS

- Joint loans involve multiple borrowers sharing repayment responsibility.
- Key considerations include:
 - Combined income improves eligibility.
 - All applicants must meet credit criteria.
 - Default impacts all borrowers equally.

11. SUMMARY

Retail loan processing is driven by structured eligibility, credit assessment, and standardized underwriting practices ensuring balanced growth and controlled risk.